TOM PESSO

2026–2027 Academic Job Market | Updated October 2026

Department of Economics and Business
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RESEARCH FIELDS

Primary: Applied Macroeconomics **Secondary:** Econometrics

EDUCATION

Universitat Pompeu Fabra — Ph.D. Candidate in Economics *Expected June 2027*
M.Res. in Economics *2022*
Advisors: Geert Mesters (main advisor) and Davide Debortoli

Barcelona School of Economics *2020–2021*
M.Sc. in Economics (Ph.D. Track)

École Centrale Marseille
M.Sc. in Engineering; double degree in Economics with AMSE *2018*
B.Sc. in Engineering *2014*

Université Paris Nanterre *2014–2018*
Bachelor's Degree in Philosophy

REFERENCES

Geert Mesters
Economic Research Advisor
Federal Reserve Bank of New York
geert.mesters@ny.frb.org

Davide Debortoli
ICREA Research Professor, UPF
BSE Research Professor
davide.debortoli@upf.edu

Albert Marcet
ICREA Research Professor, CREI
BSE Research Professor; AXA Chair
albert.marcet@crei.cat

JOB MARKET PAPER

"Probabilistic Narrative Identification: Evidence from Tax Policy" [PDF]

Best Graduate Paper Award, International Association for Applied Econometrics, 2026.

Abstract: This paper develops a probabilistic approach to narrative identification. Traditional narrative studies retain policy actions classified as exogenous and exclude the remainder from identification. I instead assign each action a probability of exogeneity, allowing the broader policy record to remain informative. Variation in this probability allows policy actions to be reweighted so that the endogenous component cancels, recovering the component associated with exogenous policy. I construct these probabilities through a replicable mapping from policy documents using large language models. Applied to the canonical tax-policy sample of Romer and Romer (2010), the framework yields an estimated medium-run GDP contraction about two-thirds smaller than under binary selection. I then extend the analysis to indirect taxation by constructing two new datasets of U.S. budget and French VAT proposals. VAT illustrates how probabilistic identification makes narrative analysis feasible when binary selection leaves too little credible identifying variation. Together, the applications reveal contrasting transmission patterns: U.S. tax increases lower output and inflation, with similar consumption and investment contributions to the GDP decline, whereas VAT increases initially raise prices and contract output, with consumption contributing more than investment.

WORKING PAPERS

"Local Linear Local Projections: Estimating Shock-Size Heterogeneity" [PDF]

Short abstract: Do large and small shocks have different effects per unit? I develop Local Linear Local Projections to trace how effects vary with shock size and sign, without imposing thresholds or fixed nonlinear shapes. The framework clarifies when these local responses have a causal interpretation. It also shows why response patterns alone cannot distinguish direct nonlinear effects from propagation through economic conditions changed by the shock.

"Fiscal policy and inflation: accounting for non-linearities in government debt" [PDF]
with Cristina Checherita-Westphal, *ECB Working Paper Series No. 2996*, 2024

Short abstract: Using local projections for 12 euro-area countries (1999–2022), we find stronger inflationary effects of fiscal expansions under high debt and weaker effects under high interest rates. Household inflation expectations also respond more positively in high-debt regimes.

WORK IN PROGRESS

"US Presidents and the Economy: An Econometric Evaluation"
with Régis Barnichon and Geert Mesters

RESEARCH AND PROFESSIONAL EXPERIENCE

European Central Bank *July–October 2023*
Ph.D. Trainee, Fiscal Policies Division *Frankfurt, Germany*

Natixis (BPCE Investment Bank) *2018–2020*
Analyst, Macroeconomic Research *Frankfurt, Germany*

CONFERENCE AND SEMINAR PRESENTATIONS

2026 SED Annual Meeting (Athens); International Association for Applied Econometrics Annual Conference (Lisbon); UEAE Time Series Workshop (Norwich); Econometric Society European Meeting (Dublin); CREI Macroeconomics Lunch Seminar (Barcelona); UPF Internal Econometrics Seminar.

2025 European Economic Association Annual Congress (Bordeaux); International Association for Applied Econometrics Annual Conference (Turin); CREI Macroeconomics Lunch Seminar (Barcelona).

2024 Econometric Society European Winter Meeting (Mallorca); BSE Summer Forum (Barcelona); BSE Ph.D. Jamboree (Barcelona); CREI Macroeconomics Lunch Seminar (Barcelona).

Organizer: BSE Ph.D. Jamboree (2023); 47th Simposio de la Asociación Española de Economía–Spanish Economic Association (2022).

TEACHING ASSISTANT EXPERIENCE

Graduate courses, Barcelona School of Economics

2023–24 to 2025–26	Fiscal Policy *(Davide Debortoli)*
2022–23	Econometric Methods II (Panel Data and Causal Inference) *(Geert Mesters)*
2022–23	Macroeconomics II / Monetary Policy *(Luca Fornaro and Mishel Ghassibe)*
2021–22	Econometric Methods II (Panel Data and Causal Inference) *(Albrecht Glitz)*

Summer-school courses, Barcelona School of Economics

Summer 2022	Quantitative Methods for Public Policy Evaluation *(Albrecht Glitz)*

Undergraduate courses, Universitat Pompeu Fabra

2022	Macroeconomics I *(Isaac Baley and other instructors)*

AWARDS AND GRANTS

Best Graduate Paper Award, International Association for Applied Econometrics *2026*
FPI Predoctoral Fellowship, Spanish State Research Agency *2023–2027*
Theme: Fiscal and Monetary Policy Interactions
Severo Ochoa BSE–UPF Ph.D. Track Fellowship *2021*
Best Student Award (1st of 55), Aix–Marseille School of Economics *2018*
Best Master's Thesis Award (cohort of 300), École Centrale Marseille *2018*

SKILLS AND LANGUAGES

Code and software	R, Matlab, Julia, Python, Stata, LaTeX
Languages	French (native), English (fluent), Spanish (fluent)
	German (intermediate), Italian (intermediate)